

Econ 527 HW3

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1 The Hugget Model

From calculation, the average income for the borrowing limit i.e. the minimum value on the wealth grid is around 1.37. Thus, the maximum is 65.2287.

The equilibrium interest rate r^* is determined when

$$A(r^*) = 0$$

Thus, we will use the bisection algorithm find r^* , setting the lower bound $r_l = 0$ and